

## Why Do I Need to Understand This?

If your family is like mine, you have many older relatives who have dedicated their lives to complaining about Uncle Sam getting his money-grubbing hands into their pockets and taxing their hard-earned money. By Uncle Sam, they are referring to the government—more specifically, the **Internal Revenue Service (IRS)**. The IRS is the branch of government that is responsible for collecting taxes. And it's true: seeing a large portion of your paycheck taken out for tax purposes is not fun. At the same time, taxes help pay for things like schools, roads, parks, and social services. While paying taxes is a huge bummer, driving on paved roads and educating kids is pretty sweet, so it is a bit of a trade-off.

When you finish school, don't think that due dates are a thing of the past. Every year you will need to file your taxes by April 15 for the previous calendar year. For instance, if you start your first job in July 2020, then in early 2021 (before April 15) you will file your taxes for the months you worked in 2020 (July through December). If you do not understand how taxes work, you can end up owing a lot of money to the government that you have not budgeted for, and you can even be penalized if you owe more than \$2,000 when you file your taxes. By taking some time to understand taxes now, you can avoid these costly mistakes in the future.

The amount of money you owe the government is based on your **taxable income**. Your taxable income is not the same thing as your salary, and fortunately, the difference between the two ends up saving you money. Although the IRS forces you to pay taxes every year, they are not wholly awful. The IRS understands that it costs money to live, and they allow you to set aside some of your money as tax-free to help you afford your living expenses.